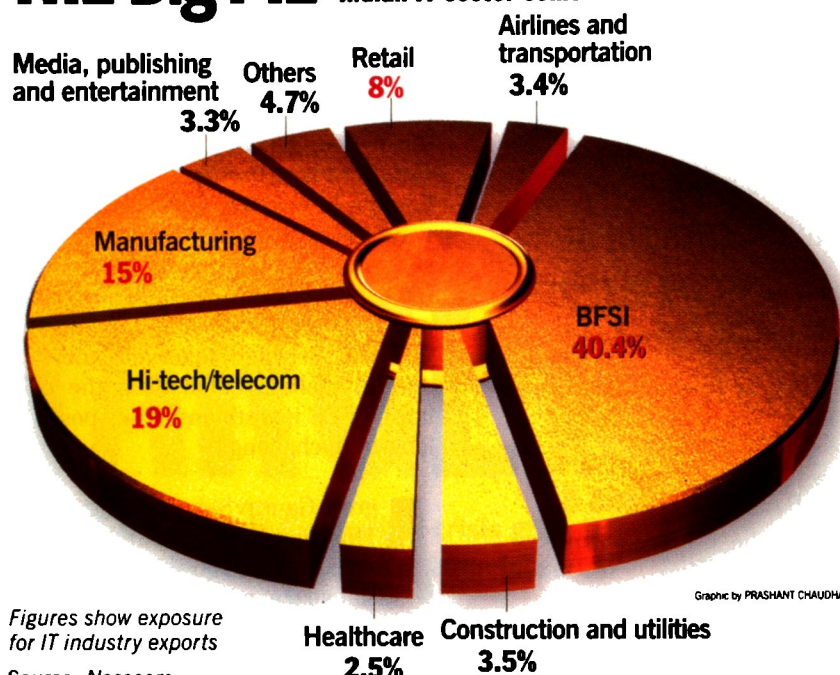


THE Big PIE

Over 40 per cent of the revenues of the Indian IT sector come from BFSI sector



Figures show exposure for IT industry exports
Source: Nasscom

According to Jalan, it is a good time for healthier Indian IT companies to look at acquisition opportunities because they may get favourable terms and conditions. They can use this time to integrate these companies, get their act together for the next level. Also, the rupee depreciation against the dollar should further help the margins.

Short-term or long-term, India Inc seems to have hedged itself against the US crisis through geographic expansion to the non-US markets like Europe, Middle East and Africa and Asia Pacific. TCS, for example, is making large investments in Latin America and the Asia-Pacific region, including India. It is estimated that these regions account for 25.5 per cent of the global

“Financial giants may revisit their outsourcing contracts.”

GAURAV SAHU, PARTNER, GRANT THORNTON



“Nobody knows what the extent of the damage would be.”

SRINIVAS VADLAMANI, CFO, SATYAM

impact in other markets, says Vadlamani, adding, “We can always take a decision later on hiring intent.”

So on the block could be biggies like TCS, Accenture and Wipro Technologies, which plan to hire 30,000, 28,000 and 17,500 employees respectively from India this financial year. This will happen, according to Manthan Systems Managing Director Atul Jalan, as the discretionary spends of these financial services companies thin out. “In a downturn, discretionary spend on new projects, innovation or upgradation gets affected. Non-discretionary spends, which are about 70 per cent and include time and material cost, will continue as firms outsource ITES/BPO services in areas such as accounting, HR and logistics.” Worryingly for Indian vendors, 49 per cent of the

companies based in North America have pared their budgets and even in Europe, nearly a third have reduced their spend. According to Forrester, more than 40 per cent of the large businesses have cut their IT budgets.

Many, however, see these trends as a flip side to the downturn and financial crisis which can bring in more offshoring to India and drive cost efficiencies. Though the global meltdown has affected the industry as the banking sector is so much integrated to the services industry, MindTree Consulting Chairman and Managing Director Ashok Soota feels that this is a short-time turbulence. “My guess is that we should be out of this whole situation in less than 18 months. The one good thing is we always factor these downturns in our forecasts and we should be able to sail out from these storms as we are well prepared to face them.”

IT services market, which is growing at a faster annual rate of 8 per cent, versus the developed market growth rate of 6 per cent.

Industry’s vertical market exposure has also been well diversified across several mature and emerging sectors. While BFSI remains the largest vertical market for Indian IT-BPO sector, other verticals such as manufacturing, retail, transport, utility and so on continue to keep traction. “We have been able to respond to the challenging macro environment and drive growth in the business under tough operating conditions and manage costs. TCS is cautiously optimistic about the rest of the year,” says TCS CEO and Managing Director S. Ramadorai.

India’s tech stocks may have lost their appeal these days, but the slowdown may give the sector time to plan cautiously for the future and use newer opportunities to strengthen the foundation on which the industry is built. ■